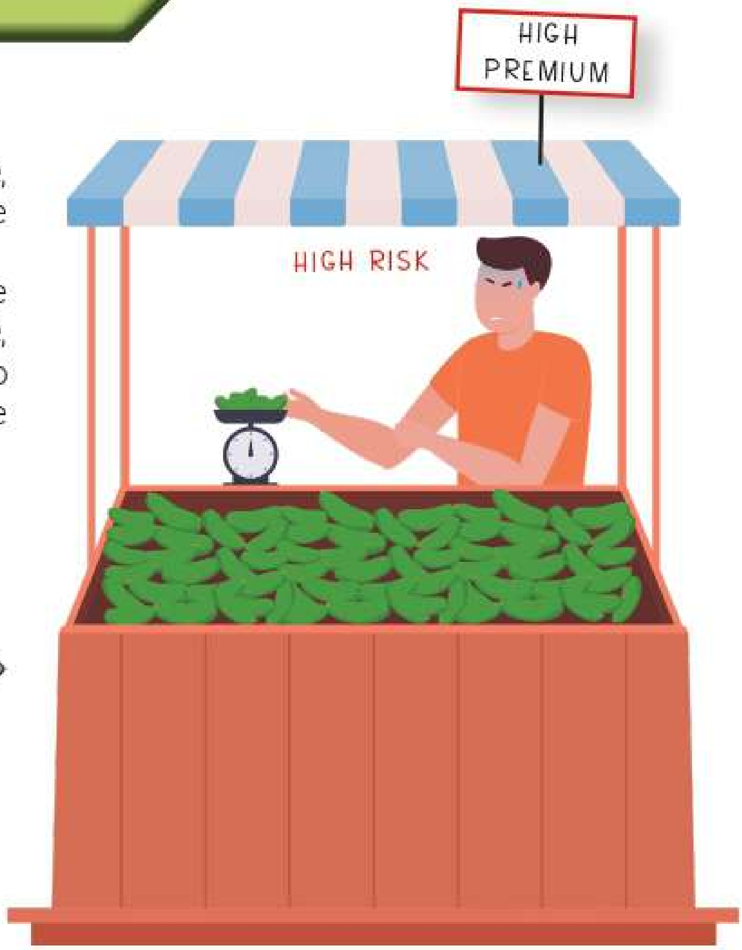
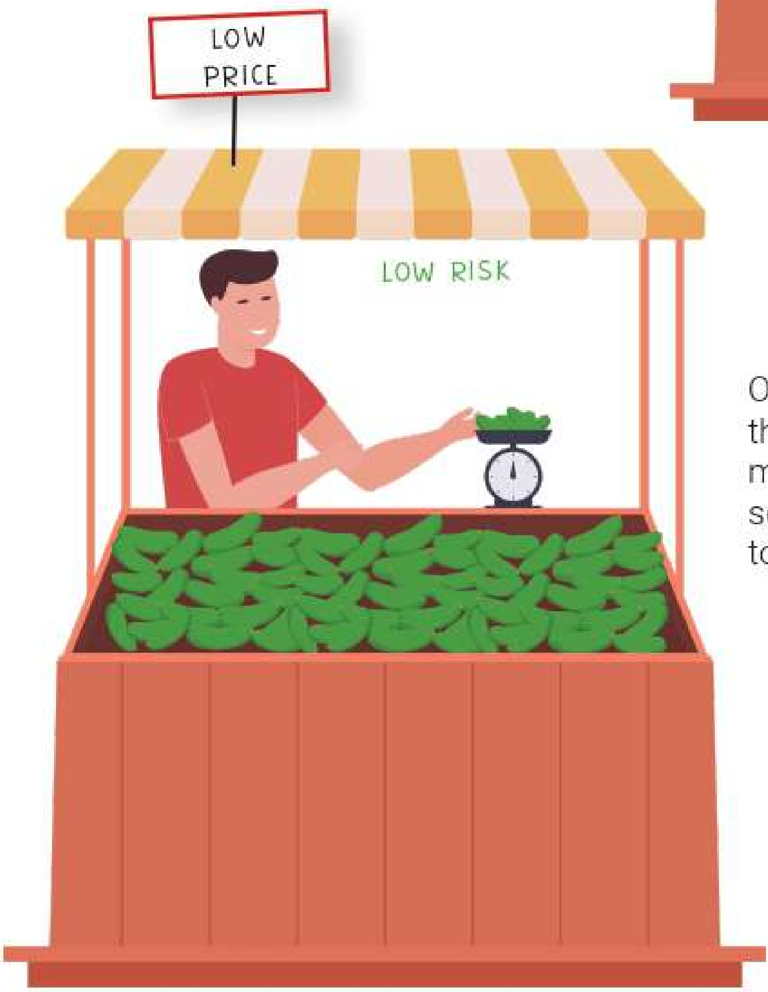
VOLATILITY OF THE OPTION

As uncertainties in the market increase, the price movement and therefore volatility goes up.
In such circumstances, the risk for the seller of the option increases. Therefore, the seller wants an additional premium to sell the contract as they may have large losses later.





On the other hand, as the volatility in the market is low, the chances of seller making losses is also low. Therefore, the seller would sell the option at lower price too.